

# R

raw materials, cost of 132, 133  
real profit 28  
real rate 121  
real values 133  
real-estate cycle, 18-year 179  
real-time trading 77  
recession 146, 215  
    and depression **94–5**  
    and money supply **92–3**  
regulation  
    banks 82, 83, 92, 234, 240  
    credit cards 244  
    insurance industry 79  
    mortgage products 215  
    peer-to-peer lending 221  
    stock exchange 233  
remortgage 213  
rental income 154, 158, 159, 163, **170–71**,  
    174, 186  
repairs, property 170, 171  
repayment mortgages 212  
representative currency 87  
reserve currency 139  
reserve rates 100–103  
reserve ratio 90, 98, 102  
reserves, banking **90–91**, 124–5  
residential property 178  
retirement 156, 157, **196–203**  
    age of 161, 196  
    managing state pensions 140–41  
    planning for financial independence  
        150–51  
    United States **245**  
    *see also* pensions; state pensions  
returns  
    on assets 88, 113, 188, 189, 198  
    credit unions 217  
    crowdfunding 227  
    government 130, 131  
    on investment 40, 47, 51, 79, 81, 130, 131,  
        141, 154, 161, 162, 174, 186, 198  
    managed funds 168, 169, 185  
    optimal portfolios 194–5  
    peer-to-peer lending 228  
    pensions 201, 203  
    on property 176, 177, 178  
    savings and deposit accounts 159, 162, 163  
    snowball effect 208  
    standard deviation of 191  
    vs risk 166, 187, 192–3, 194  
    *see also* yield  
revenue  
    analysis 62

government 96, 115  
    and net income 28  
    and taxation 106, 236  
Revenue bonds 239  
reverse annuity mortgages 212  
revolving credit 204, 219  
Ricardo, David 21  
Riksbank (Sweden) 103  
Ripple 221  
risk  
    balancing with rewards 187, 189, 194–5  
    control 46  
    gearing ratio and 40–41  
    insurance 78–9  
    investments 47, 162–3, 186  
    and managed funds 168, 169  
    peer-to-peer lending 229  
    risk tolerance 187, **192–3**  
rogue traders 55, **66–7**  
Roosevelt, Franklin D. 95  
Roth IRAs 245  
Royal Mint 19  
royalty payments 159  
RSCoin 221  
Russian financial crisis 65

# S

safeguarding 228  
salaries and wages 13, 31, 36, 117, 154, 156, 158  
    cost of 132, 133  
sales predictions 38  
sales revenue 36  
sales tax 37, 237  
Sargent, Thomas 145  
savings  
    credit unions 216, 217  
    earning income from 162, 163, **166–7**  
    from income 150, 154, 155  
    interest rates 121, 123  
    and investing for a pension **198–201**  
    regular savings plans 185  
    savings accounts 72, 73, 159, 162–3, 246  
    savings bonds 50, 51, 238  
    savings rates 72  
    tax on 246  
    and wealth 154, 155, 156, 157, 160, 161  
scalping 69  
scandals  
    accounting 35  
    Libor 67  
scientific research 128, 131  
secondary markets 60, **61**, 68, 102, 232  
secured loans 121, 204, 210  
securities 51, 60, 76, 80, 101

government 238, 239  
Securities and Exchange Commission (SEC)  
    233  
seed capital 43  
self-employment tax 236  
Shanghai Stock Exchange (SSE) 55  
shareholders  
    payments to 36, 48, 49  
    say in running of companies 182  
shares  
    arbitrage 64–5  
    as assets 155  
    brokerage 76–7  
    buying 54  
    day trading 68–9  
    dividends from **164–5**  
    earnings per share 28  
    as financial instruments 46, **48–9**  
    and gearing ratio 40  
    guarantees 75  
    high risk investment 163  
    how to buy 182–3  
    investment in **182–3**, 186  
    issuing 42  
    liquid 68–9, 76  
    manipulating prices 66–7  
    predicting market changes 62–3  
    primary and secondary markets 60–61  
    repurchases 36  
    stock exchange 54–5  
    unsold 61  
    and wealth-building 175  
    why share prices matter 183  
sharesave plans 182  
Shenzhen Stock Exchange (SZSE) 55  
shopping 157  
short selling 66  
short-term liabilities 152  
Simmel, Georg 17  
single asset funds 168  
SIPPs (Self-Invested Personal Pension) 198  
slump 34  
Smith, Adam 14, 20–21  
smoothing earnings 26, **34–5**  
social housing 131  
Social Security **245**  
    taxes 236  
soft drinks, tax on 126–7  
specialty lenders 83  
speculation 52, 53  
spending  
    government 96, 97, 115, **128–9**, 135, **237**, 239  
    increasing/cutting 119  
    personal 156–7  
    vs cuts 128  
    and wealth 156, 160